

Eli Lilly — Investment committee memorandum

Linda Li | September 8, 2026 valuation | Prepared October 6, 2026 | Judgment confirmed by Linda October 6, 2026; remaining submission tasks pending

Committee action: watch/defer

Do not initiate at the inherited \$1,123.91 closing-price reference. The integrated FCFF scenarios imply approximately \$398–\$1,228 per share, with a \$754 base estimate. The base is -32.9% below the reference. These are conditional scenarios, not probabilities or a precise fair-value interval. Revisit after the next results release and evidence of realized pricing, capacity conversion and sustainable cash generation. Before adoption, verify spot dilution, committee hurdle and source conventions; dated closing prices have been rechecked.

Evidence and operating case

FY2025 revenue was \$65.179bn. August 2026 guidance put FY2026 revenue at \$85–87bn; \$86bn anchors the bridge. Five full forecasts cover 2027–2031; growth decelerates 25%, 20%, 15%, 10%, 7%, producing 2031 revenue \$174.6bn. Recurring research is 20% of sales, with \$4bn annual acquired IPR&D, and capex tapers to 8% by 2031. Inventory days fall gradually to 330. These are judgments anchored in prior labs and filings, not guidance.

Valuation and expectation hurdle

FCFF comes directly from articulated statements, retaining research and reinvestment and removing borrowing/interest financing effects. A 9% nominal USD WACC scenario and 2.5% perpetual growth use 20% incremental terminal ROIC. EV is \$716.1bn; equity is \$674.0bn after June reported cash/investments less debt, divided by 893.7m diluted-average shares. Terminal value supplies 78.4% of EV. The reference price needs a 9.62-percentage-point increase to every 2027–2031 growth rate, reaching \$260.9bn sales, with other assumptions fixed. This is one conditional solution, not the market's unique forecast.

Cross-check and disagreement

Qualified MRK/PFE FY2025 P/E implies \$468–\$469; approximate EV/revenue implies \$206–\$417. Mature peers have slower growth, different therapeutic mix and earnings charges; the revenue multiple omits margin differences. Peer EV uses FY2025 diluted-average share proxies and book claims, not exact September capitalization. DCF capitalizes faster future growth; multiples scale historical earnings/revenue. Do not average these methods: the disagreement identifies the growth premium needing evidence.

Risks, reversal triggers and decision conditions

The downside combines slower growth, higher research/capacity spending, delayed inventory conversion and a 10% WACC. It supports moving from active watch to do-not-initiate if operating evidence confirms that path. The upside requires faster growth, 19% research intensity, 8% WACC and 3% terminal growth; it leaves only about 9.3% upside. Initiation requires independently supported cash flows and at least a committee-approved margin of safety; a proposed 20% discount to the base implies a price near \$603, conditional on the thesis remaining intact. That threshold is analyst policy, not an observed market fact. Stop/rebuild if pricing erosion outpaces volume, capacity spending fails to translate into saleable inventory, or dilution/claims change materially.

Limitations and accountability

The model uses aggregate growth rather than patient/product drivers; capex does not feed back into capacity or fixed expense margins. Annual statement cash is not rolled to the valuation date, acquired-asset accounting is simplified, and the remaining-2026 bridge prorates annual operating cash flows while excluding already-paid business acquisitions. WACC is illustrative, share counts approximate, and fixed nonoperating balances/claims can omit items. Research cuts do not automatically increase business value. See source ledger and Validation-and-AI-Use for independent checks and unfinished human evidence. No position size is proposed without portfolio constraints.

Sources: LLY FY2025 10-K pp.57-59/70; Q2 2026 10-Q pp.5-8; August 5 Q2 release; MRK/PFE FY2025 filings. Full URLs and definitions: docs/source-ledger.md.

Confirmed student review

Linda confirmed watch/defer and the corrected assumption review on October 6. Growth, WACC, capacity, terminal returns and spot dilution require stronger evidence; research spending is provisionally accepted. A proposed 15%-20% discount to the base implies \$603-\$641, conditional on intact fundamentals. Changing only WACC to 8% gives \$911.15/share, still 18.9% below reference. This observed sensitivity cannot serve as a new unseen human prediction. Full review: docs/Student-Review.md.